

CHAPTER 31.

An Act to amend the enactments relating to Trading with the Enemy, and to extend temporarily certain of those enactments to the carrying on of banking business after the termination of the present war. [8th August 1918.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

Power to order winding-up of companies of enemy nationality or association.
5 & 6 Geo. 5. c. 105.

1. In any case where the Board of Trade have before the passing of this Act made, or hereafter make, an order under the Trading with the Enemy Amendment Act, 1916 (in this Act referred to as the principal Act), requiring the business of a company to be wound up, the Board may make an order requiring the company to be wound up and appointing a liquidator to conduct the winding-up; and on the making of such an order the company shall be wound up as if it had on the date of the order passed a special resolution for voluntary winding-up and had appointed as liquidator the person named as liquidator in the order; and the provisions of the Companies (Consolidation) Act, 1908, shall apply accordingly subject to the modifications set forth in the Schedule to this Act.

8 Edw. 7. c. 69.

Restrictions on carrying on banking businesses for the benefit of or under the control of enemies after the war.

2.—(1) During the period of five years immediately after the termination of the present war and thereafter until Parliament otherwise determine no banking business shall be carried on within the United Kingdom—

- (a) by a company which is an enemy controlled corporation within the meaning of this Act; or
- (b) by a firm or individual, if the business carried on is one with respect to which, if a state of war still continued, an order for the winding up thereof could have been made under section one of the principal Act;

and if any person is concerned in carrying on any such business in contravention of this provision he shall be guilty of a misdemeanour punishable in like manner and subject to the like provisions as in the case of a misdemeanour under section one of the Trading with the Enemy Act, 1914, and that section shall apply accordingly.

4 & 5 Geo. 5. c. 87.

(2) Where it appears to the Board of Trade that any banking business is carried on in contravention of this section the Board of Trade shall order the business to be wound up, and for that purpose the provisions of section one of the principal Act and the provisions of this Act which relate to orders made under that section shall with the necessary adaptations apply.

(3) The power of the Board of Trade to appoint inspectors under the Trading with the Enemy Acts, 1914 to 1916, shall

include the power to appoint inspectors for the purpose of ascertaining, during the period aforesaid, whether any banking business is carried on a company which is an enemy controlled corporation or for the benefit of, or under the control of, subjects of an enemy state and the provisions of those Acts relating to inspection shall apply accordingly.

(4) The Board of Trade may, after consultation with the Treasury, make rules defining what business is, for the purpose of this section, to be deemed banking business:

Provided that any rules so made shall be laid before each House of Parliament as soon as may be after they are made, and if an address is presented to His Majesty by either House of Parliament within the next twenty days on which that House has sat, after any such rule is laid before them, praying that the rule may be annulled, His Majesty in Council may annul the rule and it shall thenceforth be void, without prejudice, however, to the making of any new rule.

3.—(1) Where a partnership has been dissolved by reason of one or more of the partners having been resident or having carried on business in an enemy country, and the partnership business had before the dissolution of the partnership been carried on wholly or mainly for the benefit of, or under the control of, persons who have become enemy subjects, it shall be lawful for the Board of Trade to make an order for the winding up of the business carried on by any successors of the firm, in any case where it appears to them that the former association of those successors with persons who subsequently became enemies or enemy subjects makes it expedient to do so:

Extension of
power of
making orders
under s. 1 of
principal Act.

Provided that where such an order has been made and any sum has been paid to the custodian as representing the share of any such partner, the court may, on the application of the Board of Trade, order the custodian to pay to the controller appointed under the order the whole or any part of that sum to be dealt with by him as part of the assets of the firm.

(2) Where it appears to the Board of Trade that any club or other undertaking, not being a business, carried on in the United Kingdom by any person or body of persons incorporated or unincorporated, is or was at any time since the outbreak of war, by reason of the enemy nationality or association of the members of that body, or any of them, or otherwise, carried on wholly or mainly for the benefit of, or under the control of, enemy subjects, the Board of Trade may and shall be deemed always to have had power to make an order requiring the undertaking to be wound up.

(3) Where any person, firm, or company has ceased to carry on business, and it appears to the Board of Trade that the business whilst carried on was by reason of the enemy nationality or enemy association of that person, firm or company, or of the members of that firm or company, or otherwise, carried on

wholly or mainly for the benefit of, or under the control of, enemy subjects, or persons who subsequently became enemy subjects, the Board of Trade may and shall be deemed always to have had power to make an order for the realisation and distribution of the assets of the business.

(4) The provisions of section one of the principal Act and of section one of this Act and the other provisions of this Act which relate to orders made under section one of the principal Act shall, with the necessary adaptations, apply as respects orders made under this section in like manner as they apply as respects orders made under subsection (1) of section one of the principal Act.

Provisions as
to dissolution
of companies.

4.—(1) On or at any time after the release of a controller appointed under the principal Act or a liquidator appointed by the Board of Trade to conduct a winding up under section one of this Act notice thereof may be given by the Board of Trade to the Registrar of Companies, and on the receipt of such notice the registrar shall forthwith register it, and may if so directed by the Board of Trade strike the name of the company off the register and the company shall be dissolved.

(2) Where a company has been dissolved by virtue of this section, or where a company with respect to which an order has been made under section one of the principal Act has been removed from the register under section two hundred and forty-two of the Companies (Consolidation) Act, 1908, no application for an order declaring the dissolution void or restoring the company to the register shall be made without the consent of the Board of Trade, and the Registrar of Companies may refuse to register any company with a name the same as or similar to that of the company so dissolved.

(3) In England, on the release of a liquidator appointed as aforesaid, the official receiver attached to the High Court discharging the duties of official receiver under the Companies (Consolidation) Act, 1908, shall *ex officio* become liquidator, and the right to recover any debts due to the company at the date of the release, and the right to recover any property of the company which may then remain outstanding, shall vest in the said official receiver, and he may take proceedings in his official name for the recovery of such debts and property, notwithstanding the dissolution of the company; and any sums or property recovered by him after the dissolution shall be dealt with in such manner as the Board of Trade may direct.

Provision as to
winding-up by
order of the
Court.

5. Where the Court in pursuance of subsection (7) of section one of the principal Act makes, or has before the passing of this Act made, an order for the winding-up of a company with respect to which an order has, whether before or after the passing of this Act, been made by the Board of Trade under subsection (1) of that section—

(a) the Court may by the winding-up order or any subsequent order dispense with compliance with the provisions

of section one hundred and forty-seven of the Companies (Consolidation) Act, 1908 (which relates to the statement of the company's affairs), and of section one hundred and fifty-two of that Act (which relates to meetings of creditors and contributories) or of either of those sections ;

- (b) notwithstanding anything in the Companies (Consolidation) Act, 1908, in a winding-up in England the official receiver shall, unless and until some other person is appointed by the court, be the liquidator of the company, but the Court may upon the application of the Board of Trade, from time to time appoint any other person to be liquidator, notwithstanding that a meeting of creditors and contributories has not been held, and may, upon the like application, remove any person so appointed ;
- (c) the provisions of subsection (3) of section one of the principal Act, giving priority to unsecured creditors who are not enemies, and as to the payment and transfer of enemy property to the custodian and the manner in which such property is to be dealt with by him, and the provisions of subsection (4) of the same section, which relates to the allocation of property in enemy territory to the satisfaction of liabilities to and claims of persons in enemy territory, shall with the necessary adaptations apply to the winding up of the company ;
- (d) the assets of the company may be distributed without making any provision for claims by enemies except those which are disclosed in the books of the company or of which the liquidator has otherwise received notice, and as respects claims by enemies of which notice has been so received the liquidator may pay to the custodian the dividends on any such claim without requiring a proof to be lodged in respect thereof.

6. Where before the passing of this Act any balance of the sums or other property resulting from the realisation of any assets of a business ordered to be wound up by an order under the principal Act, being a business carried on by a company, have in pursuance of directions of the Board of Trade been distributed amongst members of the company as being persons interested in such balance, such distribution shall be deemed to have been lawful and within the powers conferred by the principal Act.

Validation of distribution of assets amongst members of companies.

7.—(1) Where, whether before or after the passing of this Act, an order has been made under section one of the principal Act requiring a business to be wound up, or an order under section one of this Act has been made for the winding up of a

Claims against businesses or companies being wound up.

company, any claim against or in respect of the assets of the business, or, as the case may be, any claim against the company, may be dealt with by the High Court or a judge thereof upon a summary application made either by the controller or liquidator, as the case may be, or with the consent of the Board of Trade by the claimant: Provided that notice of the application if made by the controller or liquidator shall be served on the claimant, and if made by the claimant shall be served on the controller or liquidator, as the case may be.

(2) Where any such order has been made any action or other legal proceedings against the person, firm, or company whose business is being wound up, or, as the case may be, against the company which is being wound up, may, on the application of the controller or liquidator, be stayed by the court in which the proceedings are pending.

Extension of
power to vest
property in
custodian.

8. The Board of Trade, in any case where it appears to them expedient, may by order vest in the custodian any patent or design belonging to a company with respect to which an order has been made under section one of the principal Act or section three of this Act, or any property belonging to a company which is an enemy-controlled corporation within the meaning of this Act; and sections four and nine of the principal Act shall apply in the case of property vested in the custodian under this section in like manner as it applies to property vested in him under the said section four.

Provisions as
to custodians
of different
parts of the
United King-
dom.
5 & 6 Geo. 5.
c. 12.

9.—(1) For removing doubts it is hereby declared that the power of the court under section four of the Trading with the Enemy Amendment Act, 1914, and of the Board of Trade under section four of the principal Act of making orders vesting property in the custodian extends, and shall be deemed always to have extended, so as to enable such orders to be made vesting any property in the custodian of any part of the United Kingdom, notwithstanding that the property is situate in another part of the United Kingdom.

(2) Where any property has, either before or after the passing of this Act, by order of the court or the Board of Trade been vested in the custodian for any part of the United Kingdom, it shall be lawful for the court or Board of Trade, as the case may be—

- (a) to order the transfer of the property to the custodian of another part of the United Kingdom;
- (b) to order the payment to the custodian of another part of the United Kingdom of the dividends or other income which has arisen, or may thereafter arise, from any such property.

Proceedings as
to obtaining
information,

10. Where the Board of Trade is desirous of obtaining information as to the character of a business which is being carried on in this country and ascertaining whether such

business is one to which the principal Act or this Act applies, the High Court or a judge thereof may, upon a summary application by the Board, make an order directing any person to appear as a witness before the Board or any advisory committee appointed by the Board and to give evidence on oath before the Board or such advisory committee and to produce any documents which the High Court or the judge may think proper.

11. Where a business carried on in the United Kingdom which, in the opinion of the Board of Trade, could at any time have been wound up under the provisions of the principal Act or of this Act if it had not been transferred is being carried on by any person, firm, or company other than that by whom it was carried on at the commencement of the war, the Board may, if they think fit, require evidence that the transfer, if any, of the business was made *bonâ fide* and for valuable consideration, and that the person, firm, or company by whom the business is carried on is not carrying on the business on behalf of or for the benefit of enemy subjects, or in any way under enemy control, and if they are not satisfied by such evidence the Board may make an order requiring the business to be wound up as though it were a business to which section one of the principal Act applies.

Powers in relation to transferred businesses.

12.—(1) Where, whether before or after the passing of this Act, an order has been made either by the court or by the Board of Trade under the Trading with the Enemy Acts, 1914 to 1916, vesting any property in the custodian, and any person claims a lien or charge thereon, the High Court or a Judge thereof may, upon a summary application being made for the purpose, and either with or without the consent of the claimant, direct such account and enquiries as may be necessary for the purpose of determining the extent or amount of such lien or charge, and may order a sale of the property free from such lien or charge, and the payment of any monies arising from such sale or otherwise in respect of the property in or towards discharge of the amount of lien or charge.

Enforcement of liens.

(2) Any such application shall be served on such parties as the Court or Judge may direct, and may in any case be made either by the claimant or by the custodian or any Government Department, and also if the property, subject to the lien or charge, is property belonging to an enemy by any person who may appear to the Court to be interested, including a person having under competent authority the control or supervision of any business of whose assets the lien or charge forms part.

(3) Where any property to which section four of the Trading with the Enemy Amendment Act, 1914, applies is subject to a lien or charge, an application under that section for an order vesting the property in the custodian may be made by any

person by whom an application under the foregoing provisions of this section may be made.

Definitions.

13. In this Act—

The expression “enemy-controlled corporation” means any corporation—

(a) where the majority of the directors or the persons occupying the position of directors, by whatever name called, are subjects of an enemy state; or

(b) where it appears to the Board of Trade that the majority of the voting power or shares is in the hands of persons who are subjects of an enemy state, or who exercise their voting powers or hold the shares directly or indirectly on behalf of persons who are subjects of an enemy state; or

(c) where the control is by any means whatever in the hands of persons who are subjects of an enemy state; or

(d) where the executive is an enemy-controlled corporation or where the majority of the executive are appointed by an enemy-controlled corporation:

The expression “enemy state” means a state with which His Majesty is now at war.

Short title and construction.

14. This Act may be cited as the Trading with the Enemy (Amendment) Act, 1918, and shall be construed as one with the Trading with the Enemy Acts, 1914 to 1916, and those Acts and this Act may be cited together as the Trading with the Enemy Acts, 1914 to 1918.

Section 1.

SCHEDULE.

MODIFICATIONS of the COMPANIES (CONSOLIDATION) ACT, 1908, as applied to the winding up of COMPANIES under ORDERS by the BOARD OF TRADE:—

- (a) The Board of Trade may remove a liquidator and fill any vacancy in the office of liquidator caused by death, resignation, or otherwise;
- (b) The remuneration of the liquidator shall be fixed by the Board of Trade;
- (c) Sections one hundred and eighty-eight, one hundred and eighty-nine, one hundred and ninety, one hundred and ninety-one, one hundred and ninety-two, subsection (2) of one hundred and ninety-four and sections one hundred and ninety-five, one hundred and ninety-seven, one hundred and ninety-nine, and two hundred and twenty-four shall not apply;

- (d) In paragraph (b) of subsection (1) of section two hundred and twenty-two (relating to the disposal of books and papers) for the words "in such way as the company by extraordinary resolution directs" there shall be substituted "in such way as the Board of Trade may direct";
- (e) The Board of Trade may confer on the liquidator the like power as to conveying or transferring property as they are by subsection (2) of section one of the principal Act authorised to confer on a controller appointed under that Act;
- (f) The provisions of subsection (3) of section one of the principal Act giving priority to unsecured creditors who are not enemies, and as to the payment and transfer of enemy property to the custodian and the manner in which such property is to be dealt with by him, and the provisions of subsection (4) of the same section which relate to the allocation of property in enemy territory to the satisfaction of liabilities to and claims of persons in enemy territory, and the provisions of paragraph (d) of section five of this Act shall, with the necessary adaptations, apply to the winding up of the company;
- (g) The provisions of subsection (5) of section one of the principal Act as to the release of a controller appointed under that Act shall apply to the release of the liquidator;
- (h) An application for the stay of proceedings in the winding up shall not be made without the consent of the Board of Trade;
- (i) The liquidator shall submit accounts to the Board of Trade at such times and in such manner as they may direct;
- (j) The provisions of subsection (7) of section one of the principal Act, including the power of the Board of Trade to present a petition for the winding up of the company by the court, shall continue to apply in respect of the company, notwithstanding the making of an order under section one of this Act.

CHAPTER 32.

An Act to amend the Trade Boards Act, 1909.

[8th August 1918.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

1.—(1) The Trade Boards Act, 1909 (in this Act referred to as "the principal Act") shall apply to the trades specified in the Schedule to that Act and to any other trades to which it has been applied by a provisional order made under section one of that Act or by a special order made under this Act by the Minister of Labour (in this Act referred to as "a special order").

Application of
the principal
Act.
9 Edw. 7. c. 22.